

Member ID: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING (105)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (68 points)

Depreciation Schedules _____ (54 points)

Equity Transactions _____ (64 points)

TOTAL POINTS _____ ***(216 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Select the letter that *best* answers the question or statement.

1. If Yankee Company fails to make an adjusting entry to accrue interest on a note receivable, then this error _____.
 - a. overstates expenses
 - b. understates income
 - c. overstates liabilities
 - d. understates Assets
2. Goodwill can be recorded as an asset when _____.
 - a. an offer is received to purchase the business at a price in excess of the value of the assets
 - b. a business has above normal profitability compared to other businesses in its industry
 - c. a business is purchased and payment is made in excess of the fair value of the identifiable net assets
 - d. a business can determine that it has created customer goodwill and name recognition
3. Which of the following plant assets is not depreciated?
 - a. Capital lease improvements
 - b. Equipment
 - c. Land for site use
 - d. Furniture
4. The purpose of depreciation accounting is to _____.
 - a. reflect changes in the current value of a plant asset over its useful life
 - b. accumulate funds to replace a plant asset at the end of its useful life
 - c. allocate a plant asset's cost, less its salvage value, to expense over the asset's useful life
 - d. have a plant asset's book value equal its initial cost by the end of its useful life
5. Which depreciation method does not consider salvage value in its first-year calculation?
 - a. Straight line
 - b. Double-declining balance
 - c. Units of production
 - d. All depreciation methods consider salvage value in its first-year calculations

6. Which of the following depreciation methods would result in the most depreciation in the first year, assuming an eight-year life and no salvage value?
 - a. Double-declining balance
 - b. Straight line
 - c. Not enough information available to determine answer
 - d. The depreciation would be the same under both methods
7. An accelerated depreciation method recognizes _____.
 - a. equal amounts of depreciation for each year of an asset's useful life
 - b. larger amounts of depreciation in the later periods than are recognized in the early periods of an asset's useful life
 - c. larger amounts of depreciation in the early periods than are recognized in the later periods of an asset's useful life
 - d. more total depreciation expense over an asset's useful life than is recognized by the straight-line method
8. A revenue expenditure _____.
 - a. increases the book value of a long-term asset
 - b. decreases the book value of a long-term asset
 - c. increases a revenue account
 - d. increases an expense account
9. Unless another amortization method is shown to be more appropriate, intangible assets are amortized using the _____.
 - a. Straight-line method
 - b. Percentage depletion method
 - c. Double declining-balance method
 - d. Units-of-production method
10. Research and development costs that relate to a firm's products and its production processes _____.
 - a. must be expensed when incurred
 - b. are capitalized when the costs benefit future periods
 - c. may be expensed or capitalized at the discretion of the firm's management.
 - d. must be capitalized and amortized over 40 years
11. Which of the following does *not* affect the current liabilities section of the balance sheet?
 - a. Purchase of inventory on credit
 - b. Wages owed to employees but not yet paid
 - c. Insurance bill to be paid next month
 - d. Sale of goods on credit

12. The face value for a share of stock, which may be specified in a corporate charter, is the stock's _____ value.
- liquidation
 - stated
 - par
 - book
13. Treasury stock is a _____ account with a normal _____ balance.
- Asset, debit
 - Equity, credit
 - Liability, credit
 - Contra-equity, debit
14. If the market rate exceeds the stated interest rate, a bond will be issued at _____.
- discount
 - face value
 - premium
 - It is impossible to determine based on the information given.
15. A bond premium _____ the cost of borrowing.
- increases
 - decreases
 - has no effect on
 - equals

Short Answer

1. On November 13, 2021, Cubs Company borrowed \$40,000 from White Sox Company and gave a 90-day, 12% note.

a) What is the appropriate accruing entry made on December 31, 2021?

b) What is the appropriate entry to record payment of the note at maturity?

2. For \$11,100,000, Rockies, Inc. purchased another company's land, building, and equipment. Independent appraisals indicate the values of these assets as follows: land, \$1,830,000; building, \$7,320,000; and equipment, \$3,050,000. How much should be recorded as the acquisition cost of each asset?

Land _____

Building _____

Equipment _____

3. On January 1, 2015, Rangers Company purchased a machine for \$46,800. Rangers uses straight-line depreciation and estimates an eight-year useful life and an \$3,600 salvage value. On December 31, 2020, Rangers sells the machine for \$28,000. How should Rangers record this transaction?

4. Place an **X** in the appropriate column to indicate whether the item listed is a capital expenditure or a revenue expenditure.

	<u>Capital Expenditure</u>	<u>Revenue Expenditure</u>
a. Cost of a new desk for vice president's office.	_____	_____
b. Cost of regular maintenance to factory equipment	_____	_____
c. Cost of a new engine for a company truck.	_____	_____
d. Cost of fixing chair of sales manager.	_____	_____
e. Cost of a new keyboard (estimated useful life of 4 years) for company controller.	_____	_____
f. Cost of new air conditioning in company headquarters	_____	_____
g. Cost of annual carpet cleaning service.	_____	_____

5. Marlins Company sold goods for \$285,200. If sales tax is 6% sales tax, what amount of liability should be recorded as a result of this transaction?

6. During May, 2021, Brewer Corporation announced a 3-for-1 forward stock split on its 25,792,000 shares with a \$1.80 par value. After this split, how many shares will be outstanding and what will the par value be?

Shares Outstanding _____

Par Value _____

7. On July 1, 2022, Red Sox Services issued \$50,000 of 10% bonds that mature in five years. They were issued at 98.5. The bonds pay semiannual interest payments on June 30 and December 31 of each year using the straight-line amortization method.

a) Were the bonds issued at a discount, premium, or face value? _____

b) Record the entry to issue the bonds.

c) Record the entry for the first interest payment in December 31, 2022.

d) What is the carrying value of the bonds after the first interest payment is made?

e) Record the retirement of the bonds at maturity, after the last interest payment has been made.

f) What is the total cost of borrowing? _____

Problem 1 (54 Points)

On July 1, 2022, Rangers Corp. purchased a new machine for \$75,000. The machine has an estimated useful life of five years (or 238,000 cutting operations), after which the expected salvage value is \$3,600.

Prepare the depreciation records for each of the following methods.

Straight-line			
Year	Annual Depreciation Expense	Accumulated Depreciation	Net Book Value
2022			
2023			
2024			
2025			
2026			
2027			
Double-declining balance			
2022			
2023			
2024			
2025			
2026			
2027			

Units-of-production				
Year	Cutting Operations	Annual Depreciation Expense	Accumulated Depreciation	Net Book Value
2022	25,000			
2023	80,000			
2024	65,000			
2025	45,000			
2026	15,000			
2027	8,000			

Problem 2 (64 points)

On December 31, 2020, Orioles Corp had 50,000 shares of common stock outstanding, and 10,000 shares of 6% preferred stock outstanding. Orioles, Inc. engaged in the following transactions involving its common stock during 2021:

- Feb. 2 Issued 10,000 shares of \$1 par value common stock at \$40 cash per share, and 5,000 shares of \$100 par value preferred stock at \$120 cash per share.
- May 1 Purchased back 4,000 shares of common stock at \$50 cash per share.
- July 1 Declared dividends of \$150,000, payable to on August 1 to shareholders of record as of July 15.
- Sept. 1 Resold 1,000 shares of treasury stock at \$56 cash per share.

- a) How much were the dividends per share of Common Stock? _____
- b) How much were the dividends per share of the Preferred Stock? _____
- c) Prepare general journal entries to record these transactions.

General Journal			
Date	Account	Debit	Credit